As per the local folklore of Tashkent, various miracles occurred in the life of Ahrar right from his birth. Ahrar's initial studies happened in Tashkent itself under the guidance of his uncle Ibrahim Shashi (Forming a Faction: The Ḥimāyat System of Khwaja Ahrar, 2009). AD 1425, when he had turned twenty-one years of age, Ibrahim took him to Samarkand for further studies. Somehow his health wasn't supporting the things and falling ill had become continual phenomenon. He had to quit and while brawling with the illness he dreamt of Jesus Christ. The tradition say that Jesus said, 'I'll teach you.'

He gained mystic training returned home at the age of twenty-nine. Returning home, he began to farm after having bought a piece of fertile land. Soon land began to give him a great yield. It was not more than a decade more that he ends up getting more fertile lands, establishing businesses, popular Turkish baths, and Khānqahs. He had also begun to send his trading caravans into China (Hamid Algar, 1992). Many historians claim that he had become one of the richest men of the central Asia (The economic status of a Timurid Sufi Shaykh: a matter of conflict or perception?, 1998). It is said that most of his wealth was invested in religious endowments. Claims run that he had done abundant charity in this phase. He once owned more than 3500 acres of cultivable land at one time.

Khwaja Ahrar had extreme involvement in socio-economic and socio-economic activities of Transaxonia. Though he was born in a poor family, by the age of touching maturity he turned into the richest person in the kingdom ("Review: The Letters of Khwaja 'Ubayd Allah Ahrar and his Associates * Jo-Ann Gross, Asom Urunbaev: The Letters of Khwaja 'Ubayd Allah Ahrar and his Associates"., 2004). All dervishes of the time saw him in high regard. Among the famous disciples, Maulana Abdur Rahman Jami was one of the important ones (Aḥrār, ʿUbaydallāh, 2015). He learned most of the things under the guidance of his father though was well guided by Khwaja Yaqub Charkhi in later phase (Ṣafī, 2001 p. 250).

As the story goes, Ahrar had very strong signs of being a socialist. He went to the Timurid Prince ruling at Samarkand to discuss troubling conditions of the people of land. Sultan's chief aid showed no interest and disallowed his entry into the court. Agitated Ahrar bragged, 'I have been commanded by God and His messenger to come here.' Still Sultan's aid showed no concern. Dejected Ahrar then wrote the name of the Sultan on the wall and having erased it with his saliva said, 'God will replace you with a King who is concerned for his people' and left. Some days later, another Timurid Sultan Abu Sa'id Mīrzā, gathered his forces and attacked Samarkand and won it for himself. Sultan Abu Sa'id Mīrzā later became the grandfather